However, here is where the power of rebalancing and dollar cost averaging would have come into play. An investor would have endured one year of sliding prices (2014) before then enjoying two years of rising prices (2015 and 2016). By rebalancing quarterly, the investor would have been gradually adding to the bitcoin portion of the portfolio to make up for the continually lower percentage due to its falling price. In effect, the investor would have been dollar cost averaging down. As a result, the compound annual returns of this period are about equal for the two portfolios. More surprisingly, the portfolio with bitcoin would have had lower volatility! The power of diversification is becoming evident, and it leads to a marginally superior Sharpe ratio for the investor who held bitcoin as a 1 percent position in his or her portfolio during this period (see Figure 7.22).

Three-Year Holding Period (November 29, 2013 to January 2017)

Metric	Base Case	1% Equity —> Bitcoin
Weekly Volatility	1.17%	1.16%
Sharpe Ratio	0.89	0.90
Compound Annual Returns	7.5%	7.6%

Figure 7.22 ■ Comparative performance of a portfolio since November 2013 with and without a 1 percent allocation of bitcoin
Data sourced from Bloomberg and CoinDesk

However, it is the two-year period between 2015 and 2017 that really shines. Shown in Figure 7.23, the portfolio with a 1